

setting up the stringently regulated Gemini exchange. In focusing on the bitcoin markets at large, the rejection implied that an ETF will not happen in the United States for some time.

Immediately following the SEC decision not to approve the ETF, which was released just after 4 p.m. EST on a Friday, bitcoin dropped from \$1,250 to below \$1,000, an over 20 percent drop in a matter of minutes. It quickly rallied back toward \$1,100. The incident allowed the naysayers to write their “I told you so” and “Bitcoin is dead” commentaries once again. The *Wall Street Journal* decided to enlighten its readers over the weekend with an article on the SEC decision titled, “Let’s Be Real: Bitcoin Is a Useless Investment.”¹⁹

When these bloggers and commentators returned to their desks on Monday, they found that investors on the 24/7 cryptoasset exchanges had been working over the weekend. On Monday, naysarers were faced with the reality that bitcoin was once again back over \$1,200, and the network value for all cryptoassets had increased \$4 billion since the SEC decision. Yes, \$4 billion in three days.

The Winkelvoss ETF was not the first bitcoin ETF the SEC rejected. In July 2016, SolidX Partners filed with the SEC for the SolidX Bitcoin Trust ETF, with the intention of listing it on the NYSE under the ticker XBTC.²⁰ A major difference between SolidX and the Winkelvoss product was that SolidX aimed to insure its trust for up to \$125 million against any theft or hack of bitcoin. In March 2017, the SEC rejected the SolidX ETF.